

Financial Literacy Quiz

Pathways: Economics & Finance Workshop

Lecture 5: Financial Literacy

Name: _____

1. Suppose you had \$100 in a savings account and the interest rate was 2% per year. After 5 years, how much do you think you would have in the account if you left the money to grow?

- a) More than \$102
- b) Exactly \$102
- c) Less than \$102
- d) Do not know

2. Imagine that the interest rate on your savings account was 1% per year and inflation was 2% per year. After 1 year, how much would you be able to buy with the money in this account?

- a) More than today
- b) Exactly the same
- c) Less than today
- d) Do not know

3. Please tell me whether this statement is true or false: "Buying a single company's stock usually provides a safer return than a stock mutual fund."

- a) True
- b) False
- c) Do not know

4. If interest rates rise, what should happen to bond prices?

- a) They should rise
- b) They should fall
- c) They should stay the same
- d) There is no relationship between bond prices and interest rates
- e) Do not know